

21 Reproduction of noncapital

A Marxian perspective on the informal economy in India

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Introduction

The informal economy is viewed through contradictory lenses in development discourse. On one hand, it is seen as a pre-capitalist remnant acting as a drag on capitalist development or simply as the failure of capitalist development. On the other hand, it is seen as a seedbed of an emerging capitalism in which micro-entrepreneurs participate in commodity production to earn profit and expand their businesses, often working innovatively under severe constraints. In this essay, I present an alternative perspective on the informal economy in the context of recent growth experiences in India. Over the last decade and half, India's impressive GDP growth rates have given rise to a widespread celebration of the Indian economy as a success story of global capitalism. Yet the vast majority of the Indian working population continues to labor in the informal economy, in production processes that would be classified as noncapitalist (namely, household production with no strict separation between capital and wage labor). This poses a deeper question about the very concept of the informal economy, namely: Can it be understood as a homogenous economic space in which all enterprises are similar in terms of their production processes and that stands as the binary opposite of the capitalist formal sector?

To probe more deeply into the production and labor processes of informal enterprises, I draw upon the class analysis and overdeterminist Marxist framework developed by Stephen Resnick and Richard Wolff (1987 and 2006). I begin by discussing the theoretical conundrum posed by the stubborn existence of the informal economy amid sustained economic growth in the capitalist sector and the problems associated with the received dualism between formal and informal economies. I then analyze the case of India and explore the various class processes in the Indian informal economy. In particular, I explore the differential abilities of capitalist and noncapitalist informal enterprises to produce and distribute surplus and to achieve expanded reproduction. By way of conclusion, I consider the implications of this analysis for understanding the nature of postcolonial capitalist development.

Informality, dualism, and capitalist development

Traditional development discourse—in which economic development is synonymous with development of capitalism—assumes that noncapitalist structures will break down and dissolve as capitalist production relations expand and penetrate all parts of the economy. Since Lewis (1954), the so-called “less developed” or “labor surplus” economies have been characterized as backward due to a pervasive lack of capitalist development. In such classic “dual economies,” the formal industrial production structures, comprising the capitalist sector, are limited to a small part of the entire economy, employ only a small fraction of the total labor force, and are surrounded by vast peripheries of pre-capitalist structures, mostly in agriculture. The development challenge in such societies, then, becomes the problem of transition to a full-fledged capitalist structure, like the way “advanced” economies are organized. The latent idea is that, with such a transition, the entire working population will be transformed into capitalist wage labor. A rapid industrialization process is supposed to be the instrument of this transition by drawing out surplus labor from the pre-capitalist peripheries.

Such a transition is possible only through a process of primitive accumulation, where the capitalist expansion in the formal industrial sector leads to a dissociation of the direct producers in the pre-capitalist peripheries from their means of labor, leading to their dispossession and turning them into capitalist wage laborers (Marx [1867] 1977). However, when the informal sector was “discovered” in the 1970s, it was already seen that in such “less developed” economies, this “double freedom” of labor—freedom from the ownership of their means of subsistence and the freedom to choose their own masters—is not actualized. The dispossessed direct producers are not transformed into wage laborers but rather are pushed in the burgeoning informal sector in both rural and urban regions. Over the following decades, the informal sector, though supposed to be a temporary or a transient phenomenon that would wither away as the industrialization process gathered momentum, showed a remarkable tenacity.

From traditional Marxist perspectives, the reason for the persistence of the formal/informal dualism is assumed to be either (1) the failure of capital to wash away the pre-capitalist remnants due to the comprador nature of domestic capital under the influence of imperialism and its resultant failure to bring about a full-fledged capitalist transformation or (2) the functional value of pre-capitalist economic spaces, continuing to exist because they fulfill the needs of capital and are thus fully subsumed to the logic of capital. For example, the informal sector produces cheap intermediate goods for the capitalist industries as well as cheap wage goods for the industrial workers, thereby aiding the process of capitalist surplus extraction in the formal sector. Such

approaches visualize the entire economic space in terms of the logic of capital and its reproduction. In other critical approaches, the logic of reproduction of the informal sector is seen to be distinct from that of the formal capitalist enterprises. They are not oriented toward production of surplus, and hence remain outside the margins of the capitalist economy. In this framework, the informal sector is a unitary noncapitalist sector in which all household enterprises are motivated only by their own subsistence.

In short, there are two contradictory radical theories of the informal economy. The first provides a functionalist analysis, where the reproduction of the informal sector is understood in terms of the logic of capital. This represents a classic instance of capitalocentrism (Gibson-Graham and Ruccio 2001), where the informal sector is devoid of its own logic of existence and can only be explained in light of capital. In the second approach, the persistence of noncapital is seen to be a result of the dualism in the economy, where the entire informal sector is seen as outside the domain of capital, and all the differences and the dynamics within the informal sector are reduced to a singular logic of subsistence.

In much of the mainstream narrative, by contrast, the informal sector, formerly seen as a drag on the possibilities for capitalist growth, is now celebrated as a site of budding micro-entrepreneurship and the mechanism for inclusive development, providing livelihood to the vast majority of the working population who need not throng the gates of capital asking for employment. In this narrative, it is possible to have a depoliticized process of transition, where the direct producers reconnected with their means of production can reproduce themselves by participating in the market process, thereby exonerating capital from its responsibility to generate employment for the masses.

Both mainstream and radical discourses obscure the various class processes—i.e., the processes of performance, appropriation, and distribution of surplus labor—within the informal economy and the internal dynamics of the noncapitalist informal enterprises. In this essay, I question these standard representations of the informal economy by showing that the informal economy is a site of heterogeneous class processes. Through an analysis of the appropriative (or “fundamental”) and distributive (or “subsumed”) class processes of the informal manufacturing enterprises (Resnick and Wolff 1987), I show that there is a dualism even within the informal sector and that it is possible, conceptually and empirically, to distinguish capitalist and noncapitalist spaces within this sector. These two spaces have differential abilities to produce as well as to retain surplus, thereby giving rise to different possibilities for accumulation, expanded reproduction, and growth. As a concrete illustration, the next section looks through a class lens at production processes in the informal manufacturing enterprises in India.

Informal enterprises and class processes

Even after a relative success of the industrialization policy in post-independence India in modernizing the economy, the onset of pro-market reforms since 1991, and the high rate of economic growth over the past couple of decades (particularly between 2001 and 2011), it might be surprising to find that only about 15 percent of the entire work force in India—roughly 73 million out of a total labor force of about 460 million workers in 2010—is employed within the formal segments of the economy. The rest, about 85 percent of the work force, eke out their livelihood in the informal economy. Even within manufacturing, which is often considered to be the most dynamic segment of the economy driving the process of economic transformation, about 70 percent of the workforce is engaged in its informal segment (NSSO 2013).

For statistical purposes, the informal sector in India is defined as all unincorporated private enterprises owned by individuals or households engaged in the sale and production of goods and services, operated on a proprietary and partnership basis, with less than ten total workers. Thus, the firms are inextricably aligned with the households, often without having any separate existence.

A close look at the informal economy, however, reveals that it is not uniform or homogenous in terms of the production processes—the labor process and the way in which value is produced and distributed within a firm. The understanding of the entire informal economy as having an essential predetermined logic of its own (either same as or antithetical to the pre-given logic of the formal economy) erases the heterogeneous class processes that shape the dynamics of the enterprises in this economy. An overdeterminist class-focused understanding, in contrast, opens up the possibility for seeing this economic space in terms of a complex, diverse, and interconnected set of social (economic, political, and cultural) relations that are shaped, perhaps partially but nevertheless importantly, by the class processes.

The informal enterprises are classified in two types, namely, own account manufacturing enterprises (OAMEs henceforth) and establishments. In the OAMEs, production is organized using family labor without employing any wage labor, whereas the establishments predominantly exhibit a capitalist class process in which the owners of the enterprises employ some wage labor. The OAMEs constitute about 84 percent of all informal manufacturing enterprises, while the establishments constitute the remaining 16 percent—thus, the production processes in a vast majority of informal enterprises are noncapitalist, marked by an absence of any capital-wage labor relation.

However, an important aspect of *all* informal enterprises, including the establishments, is that in almost all firms, the owner participates in the labor process along with one or more family members, giving rise to different types of class processes within the enterprise. In the establishments,

the predominant capitalist class process may often seem to be accompanied by a self-exploitative (ancient) class process (in the instances when the owners themselves participate in the production process of the firm and perform surplus labor) and even by a feudal class process, where the owner of the enterprise appropriates the surplus labor of other non-employed members of the household working in the enterprise.¹ As Marx points out: "Of course he [the capitalist] can, like the man who is working for him, participate directly in the process of production, but then *he is only a hybrid, a man between capitalist and worker, a 'small master'*" (Marx [1867] 1977, 423, emphasis added).

Similarly, in the OAMEs, a self-exploitative (ancient) class process, where the owner appropriates his or own surplus labor, often goes hand in hand with a feudal class process, where s/he appropriates the surplus labor performed by other household members, or with a communal class process where the household workers collectively appropriate the total surplus labor performed within the household enterprise.² However, in the absence of any capital-wage labor relations, these OAMEs are marked by an absence of the capitalist class process. Nevertheless, in terms of class processes, the identity of the firm in the informal sector is fractured and does not display any singular class process.

In order to get a notion of surplus in the "capitalist" enterprises, one must estimate the value of labor power of hired workers and the necessary labor of family workers, including the owner. The noncapitalist enterprises participate in the market process, and while the total net returns from the sale of their produced commodities become the net earning of the enterprise, an estimate of their surplus can be determined only after calculating the consumption fund necessary for the reproduction of the customary standard of living of the household workers (just as this must be done to arrive at a notion of the value of labor power of a wage worker).

While these ancient and feudal workers do not receive a wage, the value of their necessary labor can be inferred from the commodity basket that they purchase to maintain their customary standard of living. For example, while discussing necessary labor and the value of labor power, Marx argues:

If, instead of working for the capitalist, he [the worker] worked independently on his own account, he would, other things being equal, still be *obliged to work for the same number of hours in order to produce the value of his labor-power*, and thereby to gain the means of subsistence necessary for his own preservation or continued reproduction.

([1867] 1977, 324, emphasis added)

The retained earnings of the enterprise comprise total revenues minus payment for the means of nonwage labor, wages of hired labor, and other

payments made to secure the conditions of the existence of the enterprise. A part of these retained earnings is the *net* surplus of the enterprise that can either be used for accumulation purposes for expanded reproduction of the enterprise or for consumption purposes of the household to raise their standard of living. In the latter case, the household would receive a distributive class income as the owner of the enterprise.

The total surplus value produced in each enterprise is distributed as distributive class payments to secure the economic, political, and cultural conditions of existence of the enterprise. Such payments would include payment of rent for hired assets and land, interest payments for loans, and bribes and other payments to administration, police, and political parties to secure the rights to transact and conduct business, particularly when the informal enterprises work in the shadowy area of legality.

The existence of such multiple class processes within an enterprise may give rise to specific contradictions and tensions. To reproduce the conditions of existence for the capitalist class process, the kind of necessary distributions from the total surplus might be different—or even contradictory—from the distributions that might be needed to reproduce the conditions for the ancient or feudal class processes. For example, if the owner of an enterprise, who is often the head of the household, decides to distribute a larger proportion of the surplus to augment the household's total consumption, this would siphon away a part of the net surplus that could be used as an accumulation fund to undertake expanded reproduction of the enterprise. In this case, the noncapitalist structure of the household obstructs expansion of the enterprise. On the other hand, if an enterprise is unable to produce enough surplus to satisfy its conditions of existence, the household members working in the enterprise have the "flexibility" to reduce their consumption basket, pushing their standard of living below the customary standard, to allow for the survival of the enterprise. Similarly, the success of a capitalist class process in an informal enterprise might lead to employment of a larger number of workers, thereby, over time, replacing the household workers and changing the nature of the enterprise in the capitalist direction.

Thus it can be seen that it is impossible at two different levels to posit the informal sector as a homogenous space. The sector is comprised of two different segments—the enterprises that exhibit a predominantly capitalist class process (establishments) and those that are marked by the absence of a capitalist class process (OAMEs). Further, even within each kind of enterprise, one can see the existence of multiple class processes that might often be in contradiction with one another. This breaks the notion of informal economy as centered, uniform, and homogenous, as is often posited in the existing development literature. In the next section, I investigate the different possibilities of reproduction for the capitalist and noncapitalist enterprises within the informal economy.

Surplus in non/capitalist enterprises

It is possible to interpret the data on the informal manufacturing enterprises in India—produced by the successive rounds of detailed surveys of such enterprises carried out every five years by the National Sample Survey Organization (NSSO)—in the class terms outlined above.³ A look at the three most recent rounds of such surveys, carried out in 2000–2001, 2005–2006, and 2010–11, covering the entire decade of fast economic growth in India, gives a sense of how class processes shape the reproduction of the heterogeneous informal economy.⁴

The Gross Value Added (henceforth, GVA) derived in Table 21.1 below gives a sense of the total value produced in an enterprise, net the constant capital or the means of labor. GVA is equivalent to the total wage fund or the consumption fund of the workers and the total surplus produced in the enterprise. As there is a large degree of heterogeneity among the informal firms and, consequently, a high level of dispersion in GVAs, I use the median values of the economic variables to get a sense of the characteristics of the typical OAME and establishment.

As Table 21.1 shows, there is a huge difference in GVA between the OAMEs and the establishments, and this difference has only increased over the decade. For example, in 2000–2001, the GVA of an average OAME (INR 21697) was about 16 percent that of an average establishment (INR 135609).⁵ In 2005–2006, the ratio of the former to the latter fell to about 12 percent, and in 2010–11 it was about 13 percent. Over the decade, the GVAs of an average OAME increased by 15 percent, while that of an average establishment increased by about 39 percent. Similarly, in per-worker terms, the GVA per worker of an average OAME (INR 15233) in 2000–2001 was about 37 percent that of an average establishment (INR 41236).⁶ This ratio fell to about 31 percent in 2005–2006 and to about 34 percent in 2010–11.

From their GVA, the enterprises need to distribute payments to various claimants who provide the conditions of existence for the internal class

Table 21.1 Gross Value Added (GVA) in OAMEs and establishments
(median values in Indian rupees at constant 2011 prices).

Year	OAME				Establishment			
	GVA	GVA per worker	Net GVA	Net GVA per worker	GVA	GVA per worker	Net GVA	Net GVA per worker
2000–2001	21,697	15,233	21,255	14,945	135,609	41,236	73,727	56,258
2005–2006	15,629	12,584	15,246	12,310	134,225	41,026	71,088	53,489
2010–2011	24,960	20,100	24,660	19,710	187,800	58,920	100,800	85,740

Source: Calculated from the 56th, 62nd, and 67th Rounds of NSSO surveys of unorganized manufacturing sector in India.

processes. For the establishments, after paying off the claimants outside the enterprise, as well as the wages for the hired workers, whatever is retained constitutes the net GVA or the net income for the household. For OAMEs, on the other hand, this net GVA or net income is simply the difference between the total GVA and the outside payments. The ratios of the net incomes of the OAMEs to that of the establishments in 2000–2001, 2005–2006, and 2010–11 were 29 percent, 22 percent, and 25 percent, respectively. The stark difference between the OAMEs and the establishments is thus further reflected by the differences in their net GVAs over the decade.

The ratios of net income per household worker of the OAMEs and the establishments for these years were 27 percent, 23 percent, and 23 percent, respectively. The bleakness of the conditions of the household workers in the OAMEs, and the huge gap between the conditions of the OAMEs and the establishments, become all the more striking when it is seen that, on an average, the earnings of the hired worker in the establishments (viz., INR 26568, INR 28268, and INR 36000) have been almost twice that of the net income of the household workers of the OAMEs in all three time periods.

In order to get a sense of the surplus produced by enterprises, it is crucial to know the value of labor power of the unpaid household workers in the enterprises (which is roughly equivalent to the wage fund or consumption fund in the case of the hired workers). By identifying the wages per worker for similar types of enterprises—in terms of industry groups, rural and urban sector, and GVA per worker—that employ labor, it is possible to find an analogous consumption fund for the household workers in OAMEs.⁷ For establishments, this idea of consumption fund for the household workers can be derived in terms of the average wage paid to the hired workers in the same establishment. Thus, an estimate of the total surplus of an enterprise for both OAMEs and establishments would be given by the difference between the total GVA and the total wage/consumption fund of all workers (both household and hired) in the enterprise. After making distributive class payments from this surplus to secure the economic, political, and cultural conditions of existence of the enterprise, the amount left with the enterprise, i.e., the net surplus, can be used for accumulation and expanded reproduction of the enterprise, or for augmenting the consumption fund of the household.

Table 21.2 Surplus and net surplus in OAMEs and establishments
(median values in Indian rupees at constant 2011 prices).

<i>Year</i>	<i>OAMEs</i>		<i>Establishments</i>	
	<i>Surplus</i>	<i>Net surplus</i>	<i>Surplus</i>	<i>Net surplus</i>
2000–2001	7,749	7,395	41,535	34,317
2010–2011	8,424	8,028	63,840	53,400

Source: Calculated from the 56th and 67th Rounds of NSSO surveys of unorganized manufacturing sector in India.

In order to focus on the changing ability of capitalist and noncapitalist enterprises for growth and expanded reproduction over the decade of high growth in India, the surplus and net surplus of the OAMEs and establishments for 2000–2001 and 2010–11 are given in the above table (Table 21.2). The surplus produced and appropriated in a median OAME in 2000–2001 and 2010–11 was about 19 percent that in the median establishment in 2000–2001, and only about 13 percent at the end of the decade in 2010–11. Similarly, the net surplus for a typical OAME in 2000–2001 was about 22 percent that of a typical establishment, while in 2010–11 it was about 15 percent that of the median establishment. To put it into perspective, the typical OAME had about INR 616 (or USD 14) net surplus per month in 2000–2001 and INR 669 (or USD 15) per month in 2010–11. In other words, the OAMEs had next to nothing left as net surplus that could be used for their growth. Further, as is apparent from the above figures, the distributive class payments of these enterprises from their total surplus is also negligible, showing that the enterprises either cannot or do not pay much to secure the conditions of their existence. Thus, over the decade of high growth, the divergence between economic conditions of the noncapitalist OAMEs and the capitalist establishments, in terms of both the surplus and the net surplus, has only increased.

This unambiguously brings out the duality within the informal sector. While both the capitalist and noncapitalist enterprises encompass a variety of class processes, there is a stark difference between the two kinds of enterprises in terms of their ability to secure the conditions of existence and for expanded reproduction. The average noncapitalist enterprise (OAME) produces some surplus and is just about able to undertake a process akin to simple reproduction. However, the low volumes of surplus and net surplus in such enterprises lead to their precarity. In contrast, the informal capitalist enterprises are able to produce and retain a significant amount of surplus, which can be a source for accumulation and expanded reproduction. Given that the prospective consumption funds for household workers in the OAMEs are much lower than the median wages of hired workers in the establishments, it is evident that the OAMEs can produce even the minimal amount of surplus necessary for their existence only by pushing the standard of living of household workers below the average standards for wage workers in the capitalist enterprises. This also implies that any net surplus that the noncapitalist enterprise might be able to retain after paying off various outside claimants is likely to be used for augmenting the consumption fund of the household in an attempt to attain a better standard of living, rather than for accumulation and expanded reproduction. Thus, the class processes in the various kinds of informal enterprises shape, to a large extent, the structure of dualism within the informal sector and the disparate possibilities for securing the conditions for existence and growth of the capitalist and noncapitalist spaces in the informal economy.

Class, dualism, and the politics of postcolonial development

Nonessentialist class analysis provides an understanding of the differential abilities of the capitalist and noncapitalist spaces to reproduce themselves successfully and to gain prevalence in the economic formation. The lack of ability of the noncapitalist enterprises to produce and retain a significant amount of surplus limits any possibility of their expansion and makes their sustained reproduction uncertain. It is possible for these enterprises to produce even this surplus partly because the median noncapitalist enterprise incurs very low operating expenses—by using household labor, by avoiding explicit costs of production through encroachments and illegal sharing of privately supplied services (e.g., electricity), and by sharing common assets (e.g., land in slums) (S. Bhattacharya 2010; R. Bhattacharya 2014). The lack of such costs, along with the unity of the direct producers with their means of labor, enables the enterprises to retain a net income, part of which is used to meet the subsistence needs of the household workers. Even the low amount of surplus necessary for satisfying the conditions of existence of the enterprises can be produced only by maintaining a standard of living of the household workers below that of an average waged worker in the capitalist enterprises. In the event enough surplus is not produced to cover the payments necessary for the enterprise to survive, a lowering of the real income of the household workers (below a socially determined subsistence level) becomes a real possibility.

The vast terrain of noncapital engraved in the heart of postcolonial capitalism in India signifies a basic dualism within the economy. To grasp the implication of this dualism, it is necessary to understand the reasons for the coexistence of the capitalist and noncapitalist economic spaces and the contradiction between them. In the 1960s and '70s, a critique of the functionalist and reductionist theory of the noncapitalist economy, as I briefly outlined earlier, was developed in the context of Latin America (see, for example, Nun 2000, Quijano 1974). Kalyan Sanyal (2007) pushes this argument further in his original critique of the accumulation process under postcolonial capitalism.⁸ In this understanding, the noncapitalist space is constituted by a “marginal mass” —or, in other words, a *surplus population*—a mass of working people who are not directly needed for the self-expansion of capital. This surplus population is not functional to, or subsumed under, the dynamics of capital in every instance, and thus the existence of the noncapitalist enterprises cannot be reduced simply to the needs or the vicissitudes of capital. Sanyal argues that the incompleteness of the process of primitive accumulation under postcolonial capitalism produces the surplus population: the exclusionary process of capitalist growth leads to the expropriation of the masses from their means of livelihood without simultaneously transforming them into wage labor for capital. Unable to enter the domain of capital as wage

labor—even the capitalist enterprises within the informal economy—because of its vast size and lack of employment opportunities, this surplus population survives precariously in the noncapitalist informal economy. The noncapitalist enterprises thus serve as a ‘reservoir’ or ‘sink’ for the surplus population. Given that these enterprises represent a mode of basic survival for the households that do not have access to other ways of earning a livelihood, they are likely to persist even when they are performing precariously.⁹ Thus, in postcolonial economies like India, the development of capitalism through primitive accumulation and exclusionary growth processes simultaneously creates the scope for continued existence of a noncapitalist economy, however unstable and fragile.

It is often argued in the development discourse (for example, Chen 2014) that the dire condition of the (noncapitalist) household enterprises can be addressed by moving toward a more inclusive paradigm of capitalist development, where the enterprises are given some access to funds, credits, training, and market openings. However, this argument misses the complexity of the process of postcolonial capitalist development. While such interventions might strengthen the household enterprises in some cases, other outcomes are also possible. For instance, it might lead to a differentiation between the noncapitalist enterprises, giving rise to a capitalist dynamic in some of them. This might entail a process of primitive accumulation, leading to further dispossession of some of the noncapitalist producers from their means of labor and thereby undermining the economic conditions of subsistence of the surplus population.

There is, however, another possibility where the noncapitalist space flourishes and is able to provide an economic shelter to the surplus population by thwarting the predatory thrusts of capital. This would be feasible, for instance, if the household enterprises could pool their resources and collectively organize themselves as workers’ cooperatives. Such cooperatives, through political mobilization, might be able to compel the state to provide them with various economic resources (which might require a transfer of resources from the capitalist space), as well as to set up a barrier to entry for capital to this noncapitalist space. The formation of such workers’ cooperatives, with their nonexploitative class structures, is also more likely to prevent the capitalist dynamics that lead to the dispossession of the noncapitalist producers and thereby to subvert the exclusionary process of capitalist development. This underlines the contradictory and the political nature of the process of development. There is no certainty regarding the final outcome of this process—it is open-ended, conjunctural, and without guarantees.

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Notes

- 1 In a majority of establishments, the number of wage laborers employed is usually greater than that of family members employed.
- 2 For analyses of different kinds of noncapitalist class processes within the enterprise or the household, see Gibson-Graham et al. (2001) and Resnick and Wolff (2006). See also Gabriel (1990) for a nonessentialist Marxian theory of self-exploitation.
- 3 While not all enterprises surveyed by the NSSO conform to the official definition of the informal sector given above, for all calculations in this essay only the enterprises that conform to that definition have been considered. Further, while NSSO provides data on 24 industry groups in informal manufacturing, in the rest of the essay, the following 8 industry groups, which make up more than 95 percent of informal enterprises, have been considered: food products and beverages; tobacco products; textiles; apparel; wood and wood products; nonmetallic mineral products; fabricated metal products, except machines; and furniture.
- 4 For other versions of nonessentialist class analyses of Indian informal or small-scale sector, see Chakrabarti et al. (2009) and Chakrabarti and Thakur (2010).
- 5 All prices are in real terms, deflated at 2010-11 prices. The exchange rate of Indian rupees (INR) in terms of US dollars (USD) in the 2010-11 financial year was INR 100 = USD 2.22 (or, 1 US dollar was worth about 45 Indian rupees).
- 6 Here “worker” designates a full-time worker. Where the enterprises employ part-time workers, I follow the usual convention of considering two part-time workers as one full-time worker.
- 7 The closest approximation of an OAME is an establishment in the same industry group where production is carried out mostly by household workers along with a single hired worker, with similar levels of GVA per worker (and with similar location—rural or urban). Note that the median wage of hired workers in such *similar* establishments—which operate at a much smaller scale than an *average* establishment—is usually lower than that of the hired workers in the informal capitalist enterprises.
- 8 For critical engagements with Sanyal’s (2007) work on postcolonial capitalism and the role of the informal economy, see Chatterjee (2008 and 2016), Sanyal and Bhattacharya (2009), Bhattacharya (2010), Bhattacharya et al. (2013), Chakrabarti (2013), and Gidwani and Wainwright (2014), among others. Also see Sanyal (1993) for an articulation of a social formation as a capital-noncapital complex.
- 9 As I argued above, such household enterprises might try to survive even by pushing the standard of living of the household workers below the socially determined levels. For capitalist enterprises not so much driven by the logic of subsistence, it would not make much economic sense to persist under such circumstances.

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